of the nations are compared by the international financial institutions like the IMF, WB, ADB, etc.

## Cost and Price of National Income

While calculating national income the issues related to 'cost' and 'price' also needs to be decided. Basically, there are two sets of costs and prices – and an economy needs to choose at which of the two costs and two prices it will calculate its national income. Let us understand the confusion and the relevance of this confusion.[9]

(i) *Cost:* Income of an economy i.e. value of its total produced goods and services may be calculated at either the 'factor cost' or the 'market cost'. What is the difference between them? Basically, ***'factor cost'*** is the 'input cost' the producer has to incur in the process of producing something (such as cost of capital i.e. interest on loans, raw materials, labour, rent, power, etc.). This is also termed as *'factory price'* or 'production cost/price'. This is nothing but 'price' of the commodity from the producer's side. While the ***'market cost'*** is derived after adding the indirect taxes to the factor cost of the product, it means the cost at which the goods reach the market i.e. showrooms (these are the Cenvat/central excise and the CST which are paid by the producers to the Central government in India). This is also known as the *'ex-factory price'*. The weight of the state taxes are then added to it, to finally derive the 'market cost'. In general, they are called *'factor price'* and *'market price'* also.

*In India, income is calculated at factor cost,* and so is the case with most of the developing countries (but among the developed economies it is calculated at the market cost). The reasons are – lack of uniformity in taxes, goods are not printed with their prices, etc. In present time, we see a great degree of tax-related uniformity coming to India to the extent the central taxes are concerned but the state taxes are still neither single nor uniform. Once the GST is implemented this abberation will end. Though for statistical purposes, income at market cost is also released by the Central Statistical Organisation (CSO).